

What Is Wealth?

I suppose this is the point in the story where I walk away and question the meaning of life. Except I can't seem to walk away, and I've never been good at navel gazing. But something bizarre had just taken place and I must have learned something.

I mean that was without a doubt the strangest few years of my life. Boom-bust, boom-bust and then, oh yeah, the big whopper BOOM-BUST. Trillions gained in '99, kazillions lost again since then. What a way to live. But inside that yo-yo is a lesson somewhere. I kind of realized toward the end that although I'm in the business of running money—we had a billion dollars under management at our peak—I barely had time to think out the most important question: What is wealth?

Wealth is fleeting, I suppose, from the looks of the last year and a half, but there must be some absolutes. Industrialists generated wealth. But what about now—in a postindustrial world? The answer makes a difference in how to put money to work.

Those “families with substantial assets” had wealth, but it wasn't static. Every generation it shrank unless they chased returns. No rest for the weary. But they don't like risk. Well, too bad. I think what I learned is that wealth comes not just from taking risk but from constantly taking risks.

The four-door office isn't a metaphor, it's reality. You can be a long-term investor, but you constantly have to adjust your sights to the next big thing. We may be in the midst of a long cycle like the British 100-year industrial boom, but that doesn't mean you can buy and hold and be on the golf course by noon.

What startles me is that those who generate wealth in Silicon Valley run at 100 miles per hour. They don't own anything of value like a textile mill or an auto factory. They own a process, the ability to constantly update their products and take advantage of that waterfall, some massive price declines and then move on to the next product or process.

The world had changed. The mighty economies of Japan and Korea and Thailand are not taking over. Their output of cars and laptops and VCRs and DVD players and memory chips and computer monitors and sneakers is booming, but something's wrong. They have giant factories with lots of lower-wage workers who wind wire, screw screws, bolt bolts, wrap plastic and stick

in power cords. But that's not what anyone pays for anymore. Their economies achieve full employment, sure, but these countries are not economic powerhouses. Not anymore.

We were investing in companies with no more than 50–100 workers, most of them highly paid programmers and engineers, whose occupational hazard is coming down off a caffeine buzz and an occasional late night Nerf gun injury. Yet even after the market bubble burst in 2000, these companies would still be worth more than Ssangyong, a company a hundred or a thousand times their size. The stock market values small businesses with high margins over big businesses with low margins. Is that good or bad? Should I even care?

Whenever I try to figure out why this is, I keep thinking back and visualizing Mr. Shim, a walking, talking and sweating metaphor for how to invest. Something like “We think, they sweat.” The spoils go to those with high margins.

You can make intellectual property, but real soon it's worthless. You don't really own anything tangible, just the ability to move it along, kick the can down the road, as diplomats like to say.

Ask economists, and somewhere in their babble they will tell you that the role of an economy is to increase the standard of living of its participants. Did the boom-bust, boom-bust yo-yo I just lived through do that? I think so, but with lots of change. America doesn't make stuff anymore—we design it. The numbers are fishy, but even after the rocky start in the 1990s, I think this new think/sweat thing will create more wealth for more people, not just in the U.S. but around the world, than the Industrial Revolution ever did.

The model I keep focusing on has the U.S. designing chips and someone in Taiwan making them for cheap. That sounds like a plan, but somehow this means we run trade deficits. Just the word deficit sounds so awful—no one likes to be called deficient. What is the right model? Maybe we should just manufacture these chips and everything else in the U.S.? Aren't all jobs good for the economy and our standard of living?

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Grand Unifying Theory

PALO ALTO, CALIFORNIA—SUMMER 2001

"We are going to send shares to your account and some cash too," I told Mr. Zed.

"I'd rather you keep going, but you were smart to send money back over the last couple of years. The selling was the right thing to do."

"It worked out that way." I still felt guilty telling the guy who put us in business that we were no longer going to work for him, although we did give him back six times his original investment.

"And I understand why you are closing up," Mr. Zed said.

"You do? Then maybe you can explain it to me."

"Because it worked. It was supposed to take ten years, and a bull market squeezed it into three. Now, who needs the hassle? You can sit back with a more relaxed pace and think even longer term. You'll be an even better investor," Mr. Zed said.

"I suppose." That was pretty good. I'm not sure that he was right, but maybe that is how I should look at it.

"But now you have to tell me how you are going to think over the next ten years."

"The only thing I really figured out is that the industrial era is over," I said.

"OK, I understand that. You have an intellectual property economy. I understand the splitting of intellectual property and manufacturing. That's fine. But I can't seem to follow the money trail. What happens to all those dollars that you Americans spend on fine German automobiles or Chinese toys or Japanese laptops? It must show up somewhere."

"I think I know, but it is hard to explain over the phone."

"It's not just explaining away things. It is time for your grand unifying theory. How does the world work? What makes the U.S. such an enviable place to invest? Tell me."

"Well..."

I was about to launch into it but got interrupted.

"Oh, don't tell me now. Write it down for me. Just start from the beginning and explain how this all works. If you can do that, you will have it."

While I was thinking about it, real life went on.

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Why It's Imperative to Drive a Beemer, Tote a Toshiba Laptop and Watch a Big-Ass Sony TV

Mr. Zed:

My grand unifying theory of why the U.S. is still the best place to invest. Rejected in D.C., but here it is:

I just love American customs and tradition. My favorite? Well, years ago, I got stuck in Detroit Rock City, on the night before Halloween, so-called Devil's Night. The Motor City was glowing. Quite literally. It turns out that Detroit's quaint tradition revolves around arsonists who randomly select parked cars to burn. Well, not randomly, 99.9% of the time, it is a Toyota or a BMW or other foreign-made cars (any Yugos left?) that get torched. Xenophobia? Patriotism? Loud message to job-stealing foreigners? How about just amazingly backward? These industrial-age "hoodlums" ought to be lighting up a few Fords and GMC trucks if they want to create more local jobs.

You see, car manufacturing used to be a great business. In 1962, General Motors made just over half of all cars sold in the U.S. market and had profits of \$1.5 billion, the equivalent of \$9 billion today. Now they are struggling to sell one in four cars and work on wafer-thin margins. But if foreigners want to bend sheet metal and tighten bolts for less than \$20 per hour and still make barely 1% of sales as profit, why should we stop them? Instead of providing capital to U.S. automakers, Wall Street, as it always does, focuses on businesses that make higher returns. It's creating its own world order.

History does rhyme. In the 20th century, the resource-rich U.S. took over leadership of the industrial era. But now it is grappling with a painful transition to an economic system based on intellectual property rather than factories. We are all used to an industrial America, the Dow Jones Industrial Average and all that. But now all of those great traditions sparked by Watt and Wilkinson are coming to an end.

There is a classic Wall Street adage that says, "Money sloshes around the globe, seeking its highest return." It's been sloshing away from Detroit for decades. But where is it sloshing to? That's where I want to be.

In the U.S. the Industrial Revolution is dead. Kiss it goodbye. Heating, stirring, mixing, stamping and bolting have all been played out. These are no longer things that make America great. Instead it's, uh, thinking. I know what you're thinking, "Why didn't I think of that?" It's what people who think they are smart call intellectual property. This IP is the Silicon Valley model.

But how did we get here? The biggest change since World War II is that design and manufacture are no longer linked. Computers and communications move designs around in nanoseconds, while industrial-era factories locate near cheap labor.

A computer on a chip, an operating system, a wireless packet switching network—these are all highly intelligent properties that come from mind instead of matter. But so is a Nike swoosh, an anti-intelligent Adam Sandler movie or Baywatch rerun, a pill to stop the runs from eating a Happy Meal, Vanilla Diet Coke and a venti double decaf blended caramel macchiato with a twist at Starbucks.

The 225-year-old Industrial Revolution never did burn out but merely faded away into a pit of profitlessness. On the flip side, intellectual property is highly profitable, which makes Wall Street squeal with delight. Money would flow uphill, if it had to, to fund these high-margin intellectual enterprises. Money sloshes to margin!

The stock market sorts all this stuff out. A stock is nothing more than the current value of a company's future profits. Capital sloshing around, seeking its highest return, naturally funds highly profitable companies.

General Motors' days were numbered when Wall Street figured out the company couldn't dominate as they did back in 1962. GM should have been creating subsidiaries in Japan rather than trying to keep Japanese imports out of the U.S. Wall Street probably would have provided them all the capital they wanted.

As the Pink Panther Inspector Clouseau said when told, "That's a priceless Steinway baby grand piano," right after he had smashed it with a knight's chalice stuck on his arm: "Nuut anymeure."

Give GM expansion capital? Not anymore. Over time, stock markets are all-knowing and very persuasive. It's the stock market that is leading the change to the intellectual property economy we are in today, by canceling the credit cards of companies that don't fit the model. You have to squint to see it happening now, but it will be more and more obvious every day.

The whole Industrial Revolution was based on a premise that if a company designed it, they had to make it to get paid. No more. What began as coal-powered, steam-belching, industrial-factory-based economy has morphed into a highly elastic, horizontally organized, globally distributed, sleek, efficient economic system that a

government-knows-best Keynesian would require a cough-syrup-induced hallucination to dream up. Instead, it happened naturally, based on labor-saving technology and disparate worker costs. The strangely named Fabless Semiconductor Association, whose member companies strictly design chips and don't own factories, has over 400 members, adding more than 100 during the downturn of 2002 alone. These are the high-margin companies in Silicon Valley. Intellectual property now rules.

Everything you know about what makes the world work—sovereign nation states, balance of trade, gold standards, fiat money as well as car torching—is up for grabs.

Simply stated, the world economy now runs on U.S. intellectual property. Santa Clara and Redmond sell chips and software at disgustingly high profits to foreigners who turn them into personal computers at disgustingly low profits. It's a great trade. We can buy a PC for \$799, and they (China, Malaysia, Thailand) employ their unwashed masses. Our masses are already washed, heck, coiffed. In the U.S., the typical autoworker makes over \$70,000. At an average manufacturing salary in the U.S. of \$20 an hour, we can't afford to bond integrated circuits, wind inductors for read-write disk drive heads or stuff circuit boards. That's buck-an-hour or buck-a-day work. Exploitive? If we weren't paying a buck an hour, many third-world workers would be shoveling shiitake in their gardens for a buck a month. In fact, our appetite for multi-gigahertz PCs to surf for cheap prices and Britney videos is what creates jobs and a rising a middle class in the rest of the world. And slowly but surely, that middle class will consume our intellectual wares, as they can afford it.

That's the thing about intellectual property. It usually has a huge up-front cost to create and almost zero marginal cost to sell. One more copy of Windows or one more arthritis pill costs practically nothing. The next one sold is pure profit. It's in the best interest of Microsoft and every high-margin company in the U.S. to have a growing middle class worldwide to buy more of their stuff. Memo to Karl Marx: You don't exploit for profit anymore. Instead, you expand and enhance. Quite a change.

Whole economies are based on a disengagement of design and manufacturing—of intellectual property and industry. And just in time, or progress in the U.S. would have come to a screeching halt, and you and I would be waiting in line to load our punch cards into IBM time-sharing computers.

The British milked a lead in steam engines into a hundred-year empire, imported raw materials, ran them through foul coal-burning, steam-engine-run manufactories and then exported value-added finished goods. Their profit was a huge markup above the cost of coal. Homespun textiles, metalworks and pottery made in the rest of the world were more expensive and of lower quality. It wasn't even fair. The British wiped up and built their empire.

Now it's the opposite, which is why the Industrial Revolution is finally dead. A very bright star in Sunnyvale, California, e-mails the design for her chip to Taiwan, where it is manufactured and then shipped to Shanghai to be assembled into a Toshiba laptop. They keep a few for themselves and sell the rest back to us for margins so low that we can't afford to do it ourselves. The U.S. exports high-margin intellectual property, which others add sweat to and sell back to us at tiny markups. It's one of those funny win-wins that drives economists crazy (crazier?).

You may ask, "Uh, someone said something about my needing to drive a Beemer?"

OK, OK. It takes lots of dollars to buy chips and software and Viagra and McNuggets and Jerry Lewis movies. No problem, we just have to buy something from other countries, to put dollars in their hands.

In the early 19th century, the British Empire was almost stillborn. In 1815, the long inflationary Napoleonic Wars ended, and sure enough, wheat prices collapsed. Farmers began turning in their pitchforks and moving to the cities in droves to work in manufactories. Steam engines were driving textile mills to allow the British to sell cheap and comfortable clothing to the world. In fact, one particular machine, Samuel Crompton's spinning mule, hooked up to a Boulton & Watt steam engine, would repeatedly stretch and wind cotton thread and yarn until it was as "smooth as silk," like Kessler Whiskey. No one making clothes at home anywhere could match these mills for either cost or quality in terms of smoothness.

But landowners who controlled Parliament, and these farmers, who didn't know their ashes from their bellows, passed the Corn Laws. These tariffs set minimum prices on agriculture and kept out cheap corn and grain from the Continent (read, France). Workers started starving because they were not making enough in the factory to pay for now expensive bread. But factory owners couldn't raise wages because they were having trouble selling their manufactured goods overseas. Why? Because the French and Germans were paying for these goods with their wheat and corn, and the British taxed them out of affordability. How stupid—this almost killed the British Empire in its infancy.

With any foresight, the landowners should have dumped their unprofitable farms and invested the proceeds in highly profitable joint stock companies making pottery, shirts and potbelly stoves. England should have gladly bought French wheat and Dutch flowers and German barley and hops so that consumers in these countries could have turned around with the money they received and bought British manufactured goods. There was no substitute. Once you go silky smooth, you never go back. The Corn Laws foolishly lasted until 1846.

So, go ahead, buy that Beemer so that Germans can afford to buy our software.

Wait a second, I hear you screaming, “The U.S. is running trade deficits as deep as the Mariana Trench, \$500 billion a year or more.” Relax—it’s just money, and funny money at that. You see, using industrial-era measurement tools, “money out, goods in,” the common perception is that consumers in the U.S. are running these massive trade deficits, mortgaging their future and putting the health and well-being of the U.S. in the hands of devious foreign strangers—to xenophobes, are there any other kind?

Which reminds me of a great story:

An economist and an investor are helplessly lost on a hike through the peaks and valleys of the Dow and NASDAQ mountain ranges, well, the Rockies. The investor sticks a wet finger in the air to find his direction via the prevailing wind. The economist is studying charts and numbers, GDP growth, trade stats, unemployment data, inflation, hours worked, productivity, meticulously compiled by the Commerce Department, the Bureau of Labor Statistics and Bureau of Economic Analysis. “OK, I’ve got this figured out,” the economist yells. “You see that big mountain over there?”

“Yup,” sighs the investor.

The economist proudly announces, “We’re on top of that one.”

According to government statistics, the U.S. has been running trade deficits, except for a couple of brief surpluses, since 1976. But that’s like the government counting railroad ties to determine the strength of the U.S. economy—it’s the wrong measure.

The cumulative deficit since 1976 is around \$4 trillion. Most alarmists and car burners equate that with spending our grandchildren’s future, that the U.S. has spent \$4 trillion more than it produced, and our grandchildren will practically be in slavery to pay back our “hog” iness.

If this was just German beer or French wine that we were quaffing in mass quantities and running deficits to do it, I’d be a little nervous. But, no, the intellectual property we export and then reimport in finished goods is the type that makes us more productive. Computers, with our designs but Taiwan-made chips and Malaysia-assembled disk drives, run our corporate back offices. Similarly created digital networks now deliver phone calls, and other systems deliver e-mail cheaper every year.

Looked at another way, foreigners made us \$4 trillion of stuff, in exchange for a piece of paper with Ben Franklin’s mug on it. But we get it all back. Charity? Nah. They buy a piece of debt signed by Alan Greenspan, promising to pay them interest and their principal back in 10 years. Or maybe a colorful stock certificate. So, either foreigners are suckers or there is some economic reason for these deficits.

We got most or all of the 4 trill back, chasing our profits. Do they now own the U.S.? Nah. The entire U.S. bond market is \$19 trillion, stocks another \$15 trillion and growing.

A not-so-well-kept secret that Wall Street has figured out: creating intellectual property is lucrative. Microsoft sells Windows for \$50 with virtually no physical costs, just massive research and development costs. Even at the bottom of the bear market of 2002, Microsoft, with its 40% operating margins, was the second most valuable company in the U.S. GE, a giant hedge fund, was #1.

Money comes out of the woodwork to chase these kinds of returns. Wall Street is an essential conduit. Excess capital at our trading partners, the “beneficiaries” of our drooling gluttony, comes right back and invests in the U.S.

Economists measure GDP, Gross Domestic Product, and live and die by its direction. People who run money look at gross domestic profit, since that’s all that really matters. The Dow trumps GDP—that sigh you just heard was industrial economists fainting into a heap on the floor.

It would take 40 companies the size of Microsoft making 1% operating margins to generate the return that Microsoft does on their intellectual property. That’s a lot of factories in a lot of countries making stuff for us. No wonder the deficit is \$4 trillion and Microsoft is worth more than most Continents. And the deficit is probably going to get larger, but as Alfred E. Newman would say, “What, U.S. worry?”

But don’t we owe someone \$4 trillion? Sort of, not really—aw, screw it, no. They can get their money back eventually, but wealth beyond those four big ones will be created in the U.S. if we put their money to work effectively. When capital sloshes around and chases high returns, much of it gets invested in our stock market. And unlike a passbook savings account at your local bank, there is no account statement that reads \$4 trillion. Bean counters need solid beans to count; if they are smashed and stirred into a soup, no one really knows how many beans there are.

A million dollars invested into a company’s stock over a week or a month can increase the value of that company by a hundred million dollars. It works both ways: a million dollars sold can decrease a stock’s value by that or more as well. Dollars flowing into the U.S. are lost in the bean soup of the market, but their effect is to lower the cost of capital for great companies. The \$4 trillion may have increased wealth by \$7, 8 or 9 trillion. Who knows? Except to say that it increases wealth.

Economists may insist we are running a trade deficit, but in reality, we are running a margin surplus. In a world where money crosses borders faster than J-Lo goes

through boyfriends, profits are all that matter. The margin or profit over cost of goods and services is the only true measure of trade. I will gladly trade you an idea I make \$1 profit on for five widgets that you only make a nickel on. And I'll make that trade every day of the week.

As long as the U.S. focuses on intellectual property, perhaps we'll never have to pay the "debt" back. It will just be constantly rolled over and shrink in relative size as foreigners buy our intellectual property and chase our returns. In the long run, the dollar will probably rise in value. But who really cares what the dollar does—it's just an economic construct. Real wealth is created by profits, not currency printing presses. Currencies trade more on relative interest rates than anything else—this was the secret of the Soros and Tiger successes.

Prevailing industrial economic thought has trade balancing via exchange rates. If the U.S. is running deficits, the experts say, we should lower the value of our currency to make our goods more competitive on the world market, sell more of them and eventually bring trade back into balance. But that theory is flawed for intellectual property. Money is flowing in, but perhaps our stuff (companies, intellectual property, etc.) is too cheap!

Things are now backward. A PC maker has to buy Windows XP no matter what the exchange rate. If the dollar is rising, then it takes more Chinese yuan and more Thai baht and more euros to buy Windows. Lowering the dollar won't help Microsoft sell a single additional copy, since there is no substitute. A rising dollar might perversely shrink deficits as foreigners are forced to pony up more of their currency for our intellectual property and make our reward, those leather-clad BMWs cheaper—an upside-down J-curve.

According to the International Monetary Fund, in 1994, foreigners owned 11% of the total value of U.S. long-term securities. At the end of 2001, they owned 18.3%. Their share of stocks went from 7% to 12.4%. But the stock market, even at the bottom of a bear market, more than doubled in that same time period. So even though foreigners own more, the U.S. is wealthier. Isn't that the right end game? At some point, as low-profit industries move out or close altogether, U.S. margins will be high enough to make the economy cash-flow positive. We won't need the economist's phrase "kindness of strangers" anymore. No kindness here—just money chasing returns.

This may sound like voodoo economics, but only to those who see the world through the eyes of the Industrial Revolution. Economists live in Washington and New York, not Silicon Valley. Margins are making economists marginal.

If Toshiba wants to put some liquid crystal display and plastic around an Intel Pentium and Microsoft Windows, and sell it to me as a laptop, let them. In fact, they

have to do it—it's their contribution to the world economy. The entire margin on PCs is around \$400, \$350 of which is split by Wintel (Microsoft and Intel) and other U.S. companies. If GM made the exact same laptops, they would cost \$10,000 a pop, weigh 40 pounds and need a battery change every 3,000 miles.

If Sony wants to sell you a big honker, 60-inch diagonal comb filter DLP or LCOS cable-ready TV for practically no profit, should we stop them? We should instead encourage them. They go to the dark edges of western China, seeking out cheap labor to grow the tubes or assemble the flat panels and then move them to assembly plants all around the South China Sea. Why? Because it keeps Sony employees fully employed. Now you know why they bought a studio in Hollywood: anything to add value. But if you and me buying that Sony or Sharp TV means Japanese children can buy Kentucky Fried Chicken and go to Jim Carrey's next movie, and upgrade Windows 98 to Windows ME to Windows XP, so be it. Jerry Lewis will tell you—do it for the children.

But never underestimate the ability of policy makers to stick with oxymoronic conventional wisdom. Even if the dollar stays where it is and we go to \$6 trillion in trade deficits, our stock and bond markets might be worth \$50, \$60, \$70 trillion, double or triple today's value, run up by margin chasers. Just about everything about this margin surplus model is upside down.

The modern U.S. has farm bills and textile quotas and on and off steel tariffs like the British Corn Laws, not to mention late-model-car flammers. How dumb. Because of our margin surpluses, big trade deficits are our just dessert. These foreign-made consumer items are our gold. Let them flow. Tariffs, quotas and subsidies will return us to an industrial age. No thanks. Foreigners sweat and toil to make our physical delights, in exchange for our intellectual output. It doesn't get any better than this.

So, Mr. Zed—there it is.

A paradox? Yes! Investing where others can't know, unless they stand on their heads.

That is my edge—someone tell Jack Nash.

I know it sounds wrong, counterintuitive, like eating your spinach, but for Americans in an intellectual property era, we all just have to suck it up and toodle around in our Mercedes with Corinthian leather. And drink French wine and watch the biggest-ass Japanese TVs we can afford. And wear clothes made in Ghana. Someone has to help those in other countries to be able to afford our ideas. Whatever dollars we send them will come back like a boomerang to buy our high-margin stuff—the fifth season of The Sopranos on DVD to the next release of code to run Cisco routers, or maybe they'll just buy our stocks. Who cares—there are great investments to find either way. That is the big waterfall. This works for all intellectual property, but I'm sticking with things that scale.

Warning. Even the name intellectual property is a paradox. It wrongly implies you can own something and have wealth. It's not true. Intellectual property means constantly improving on something to continue to generate high margins—else the market price collapses. None of this stuff is static; it constantly evolves.

Microsoft doesn't sell DOS, their original disk operating system, anymore, even though that was their key piece of intellectual property. It's worthless today. But their process of invention and innovation, even if it is painfully slow, is enormously valuable because of its 99% gross margins. Their only material costs are CDs and a thin manual. Even after spending billions on research, they make 50% operating margins and can afford to spend more each and every year on research. Nothing static about it. Wealth is a process. If I learned nothing else from running money, that is it.

Running money is supposed to be unemotional. Get conviction on things others don't or can't know about and find future returns. But the stock market is also a force of change. It is the embodiment of Adam Smith's invisible hand. It funds growth and starves dying businesses and pushes progress. Not always, I suppose, but enough. With intellectual property and the margin surplus the U.S. is running, the stock market plays a key role in balancing payments and currencies and how the world now works. In an odd way, being a player in the stock market is a form of activism, albeit indirect and invisible activism, in pushing a model that increases living standards.

But it's hard to be unemotional for long. It's about ideas that affect people. It's about finding waterfalls that create massive growth and monster markets and change for the better to the status quo.

One hundred thousand or more people running money all day, every day, most staring at their screens, doing trades, providing access to capital, sloshing capital around. Whether we realize it or not, we are all driving progress, not individually, but collectively. Adam Smith's invisible hand? If you like. That's what a stock market does. But in this postindustrial, intellectual property world, it's more like Doug Engelbart's visible hands, clasped together, rising up, scaling knowledge, augmenting humans.

Kessler, Andy. *Running Money: Hedge Fund Honchos, Monster Markets and My Hunt for the Big Score* (pp. 267-279). HarperCollins. Kindle Edition.